



Lilongwe University of Agriculture and Natural Resources

ODeL Campus

Faculty of Development Studies

Agribusiness Management Department

Mock Examination

BAAE, BABM, BABS. Year 2: ABM32201: Cost Accounting

Date: Wednesday, 11 December, 2024

Time: 3 hours

Instructions

1. This examination has TWO sections and 8 pages excluding the cover page.
2. Section A has TEN multiple choice questions.
3. Section B has FOUR questions.
4. Answer All Questions.
5. Do NOT turn this page until you are told to do so.

SECTION A

This section contains multiple choice questions. Write the letter of the correct option in the answer booklet against each question. Each question carries 2 marks.

1. Car parts are assembled in a factory. One of the components used in assembling car part TR7 is component C6.

Which of the following is an example of a cost unit in the factory?

- A A unit of component C6
 - B A unit of car part TR7
 - C The cost per unit of component C6
 - D The cost per unit of car part TR7
2. 4,200 kilograms (kg) were input to a manufacturing process in a period during which output was 3,800 kg. The normal weight loss in the process is 10%.

What was the abnormal gain/loss?

- A 400 kg abnormal gain
 - B 420 kg abnormal loss
 - C 20 kg abnormal gain
 - D 80 kg abnormal loss
3. The following details relate to production overheads for a period:

Absorption rate	MWK15,000 per machine hour
Actual machine hours	4,220
Budgeted machine hours	4,130
Over-absorption	MWK230,000

What was the actual production overhead expenditure in the period?

- A MWK61,720,000
- B MWK63,070,000
- C MWK63,300,000
- D MWK63,530,000

4. What term is used for the charging of overheads to cost units?

- A Overhead absorption
- B Overhead allocation
- C Overhead analysis
- D Overhead apportionment

5. Which of the following cost classifications can be applied to the salary of factory supervisor?

- i. Indirect
- ii. Period
- iii. Production
- iv. Variable

- A i and iii
- B i and iv
- C ii and iii
- D iii and iv

6. Which of the following may result in fixed overheads being under-absorbed??

- i. Activity below budget
- ii. Activity above budget
- iii. Expenditure below budget
- iv. Expenditure below budget

- A i and ii
- B i and iii
- C iii

D ii

7. Which of the following is the most appropriate basis for apportioning the cost of rent in a factory?

- A Direct labour hours
- B Number of lights
- C Floor area
- D Number of factory employees

8. Costs have been recorded at three output levels:

Production output	100,000 units	105,000 units	110,000 units
Total costs (MWK'000)	207,000	213,000	218,200

Using the high-low method, what is the variable cost per unit (to the nearest whole number of MWK)?

- A MWK890
- B MWK1,040
- C MWK1,120
- D MWK1,200

9. A company, which manufactures and sells a single product, has the following sales and production data for a period:

Production	20,100 units
Sales	18,900 units

Profit has been calculated for the period, using both absorption costing and marginal costing.

Which combination of profit figures are consistent with the above production and sales data?

	Absorption costing	Marginal costing
A	MWK10,000,000	MWK12,000,000
B	MWK12,000,000	MWK10,000,000
C	MWK12,000,000	MWK12,000,000
D	MWK10,000,000	MWK11,200,000

10. At the beginning of a period, 150 units of a component, which had been purchased at MWK6,400 per unit, were in inventory. During the period, 290 units of the component were purchased (160 units at MWK6,500 followed by 130 units at MWK6,900). 315 units of the component were issued to production at the end of the period when the cost of the 125 units remaining was MWK800,000.

Which method is being used to price the issues of the component?

- A First-in First-out
- B Last-in First-out
- C Periodic weighted average
- D Weighted average

Total: 20 marks

SECTION B

The questions in this section must be answered in the ANSWER BOOKLET provided.

Question One

State whether the following statements are true or false by simply writing T for true and F for false. Each part of the question carries 2 marks.

- a. All fixed costs are indirect costs.
 - b. The economic order quantity assumes constant demand.
 - c. Where a company produces more than one product, units produced are a suitable basis of absorption.
 - d. One of the assumptions of breakeven analysis is that production equals sales.
 - e. Depreciation is an example of an item that is included under payments in a cash budget.
- Total: 10 marks**

Question Two

Briefly explain the following terms:

- a. Indirect cost **5 marks**
- b. Margin of safety **5 marks**
- c. Limiting factor **5 marks**
- d. Favourable variance **5 marks**

Total: 20 marks

Question Three

The budgeted cost information supplied by the cost accountant of Pius Ltd is as follows:

	MWK
Sales 2,000 tablets @ MWK10,000 per tablet	20,000,000
Variable cost - MWK6,000 per tablet	<u>12,000,000</u>
Contribution	8,000,000
Fixed cost	<u>3,000,000</u>
Profit	<u><u>5,000,000</u></u>

Required:

- For Pius Ltd, what is the break-even point (BEP) in tablets and sales revenue?
6 marks
- If the company wanted to earn a profit of MWK6,200,000 for the year how many tablets must be sold?
4 marks
- By how much could expected sales revenue fall before Pius Ltd starts to make a loss?
4 marks
- State **three** limitations of breakeven analysis.
6 marks

Total: 20 marks

Question Four

The following cost information has been gathered in a factory which is divided into three production cost centres and two service cost centres.

Factory data	Production department			Service department		Total
	A	B	C	M	S	
Area (sq. metres)	108,000	90,000	72,000	54,000	36,000	360,000
No. of lights	1,280	1,400	1,120	700	1,500	6,000
Machine HP (kw)	30,000	25,000	20,000	15,000	10,000	100,000

Machine value (MWK'000)	500	600	400	150	100	1,750
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The following is the budgeted expenditure for next year:

	A	B	C	M	S	Total
	MWK'000	MWK'000	MWK'000	MWK'000	MWK'000	MWK'000
Indirect wages	60,000	45,000	50,000	30,000	30,000	215,000
Indirect materials	40,000	30,000	20,000	1,500	2,500	94,000
Repairs and maintenance	44,400	27,000	19,600	4,500	500	96,000
Plant depreciation						350,000
Rent and rates						400,000
Machine power						200,000
Lighting						120,000

It has been decided to apportion service departments M and S in the following proportions

	A	B	C	M	S
Department M	50%	20%	20%	-	10%
Department S	50%	30%	20%	-	-

Budgeted direct labour:

	A	B	C
Hours for next year	61,500	60,250	63,000

Budgeted direct labour:

	A	B	C
Rates for next year	MWK8,000 per hour	MWK7,000 per hour	MWK6,000 per hour

Required:

- Prepare an overhead analysis sheet in which you apportion the overheads to each cost centre and then apportion the service cost centre overheads to the production cost centres. **14 marks**
- Calculate the budgeted absorption rate for cost centre A, B and C using the direct labour hour basis. **6 marks**
- Calculate the budgeted production cost of a new production which will take 50 hours in A, 30 hours in B and 60 hours in C. The direct material cost is estimated at MWK900,000 per unit. **6 marks**

- d. State **two** reasons for using a predetermined overhead absorption rate. **4 marks**

End of question paper